Logical TA @EvilPanda

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DLMM Exit Strategies 🧵

Now this is a very subjective topic for @Meteora DLMM. As everyone will probably have a very different reason to close their positions depending on their lifestyle, on their strategies, and which part of the coin trend they are doing DLMM on.

- Some people close when they have earned 10$-20% in fees.
- Some close their positions because they need to go away for the next 6 hours either to sleep or drive or travel or go out touch grass and they cannot monitor the price action.
- Those that DLMM near the highs will quickly exit their positions due to fear of rugs (Heart Attck strategy).
- Those that DLMM after a dump will want to hold onto their positions until it goes out of range as they are earning fees through the sideways chop.

I only have 1 simple rule for any exit strategy.

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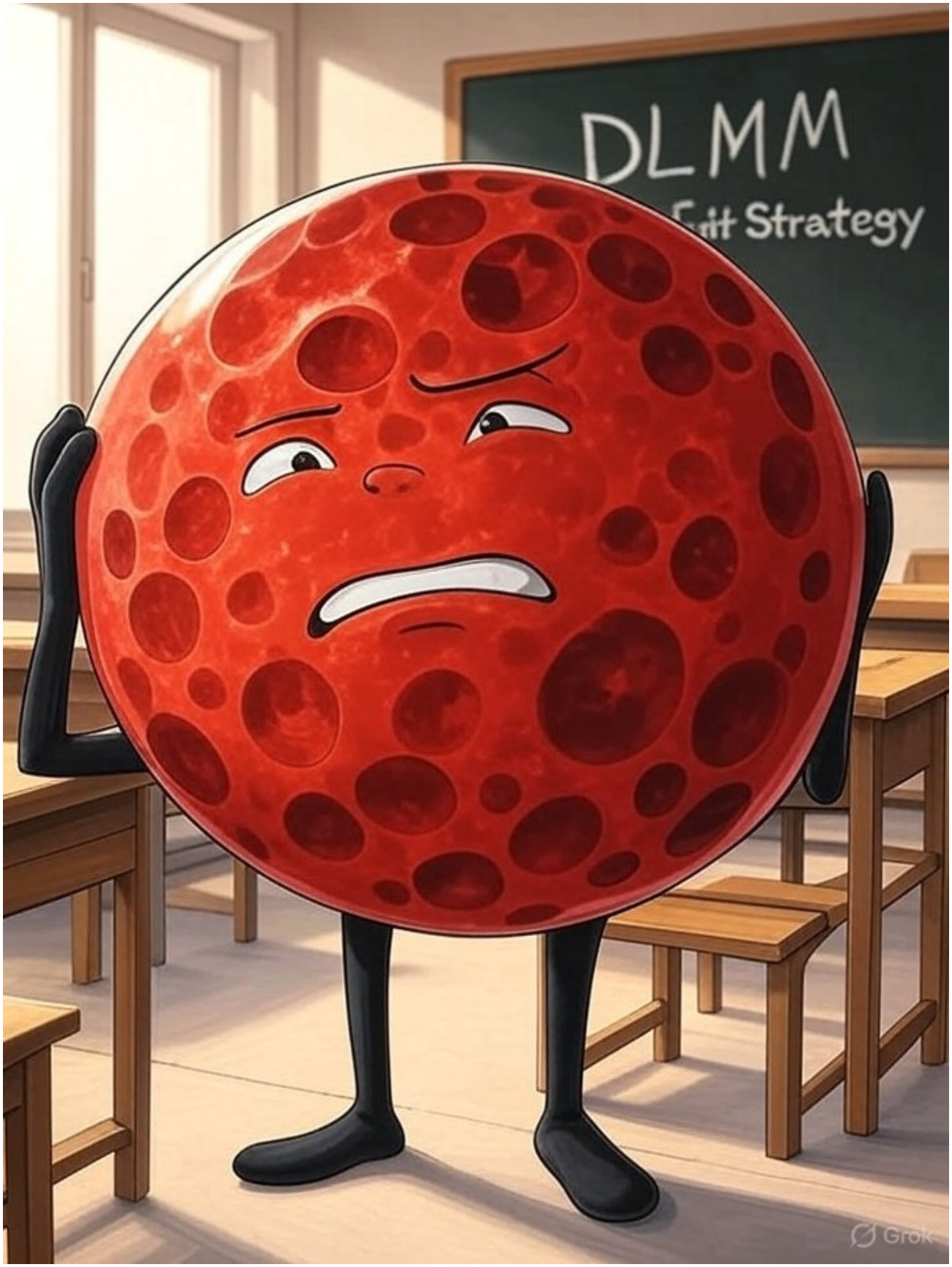
DLMM
Strategy
Grok

That simple rule is

Always Exit on a GREEN candle, no matter the timeframe you are using.

The only exception is if you know you DLMM'ed a coin that is rugging, so you need to just get out and take the loss.

Other than that, always exit on a green candle. Because it minimizes slippage and at least the token fees you earned will be worth more than if you panic sell a red bar where everyone is selling.

Since the previous posts I made uses the supertrend indicator, let's use that to show viable exit strategies.

This method is suitable for those doing DLMMs near the top of the markets before the dumps happen.

The Supertrend and Fib Lines that I use for determining DLMM ranges also function as support/resistances. Check back below. x.com/tendorian9/sta…

The Fib lines are the bottom ranges of each different DLMM pool range which most people use so when price goes back there people tend to decide to also close positions to minimize loss if they picked the wrong range. Hence they become resistance areas too.

Four examples below.

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Example 1 - Jugs

Assuming we chose the correct range which is using 125bin step and 69bins which covers a 57% correction from the top.

We would be happily earning fees through the chop that we think that it will go on forever, until the Supertrend support breaks.
This is where we have to be glued to the screen a lot more as we need to find an exit point.

As I have explained that the Fib lines also function as resistances, so a pump to the 0.51 line(teal line) is a good time to close the position.
Not to mention that it coincides with the Supertrend resistance. So we know surely there will be sellers there and it will not be easy for price to break through the first time.

Since we chose the correct range to DLMM, price probably never went out of range or out of range only for a short time. We earned the full fees of this chop and this would have been a profitable position.

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Example 2 - Bonkputer

Now this one is more tricky. Assuming you chose the range correctly which is 100bins(bs) and 69bins to cover 49% dump. But for some reason the price kept dumping and it went as far as -68% before finding a temporary bottom. The best way is to wait for a pump to minimize loss. So wait patiently for a pump back to resistance (yellow line) before we close for a less painful -57%.

In another thought we would think that price might go back to the teal line, but there is no

guarantee that happens especially when we see the vertical dump on the chart. So best to get out on the first resistance and move on.

In the future post I will come back to this coin to explain why we should have gone with a bigger range to DLMM.

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Example 3 - Lmeow

This is pretty straightforward, there was a huge pump so we enter DLMM from the top. Following my rules for range selection we would use 125bs and 69bins to cover a 57% dump. Price dumped all the way to the edge of our range and bounced back up quickly for us to exit.

This would be a profitable position as the dump was choppy, which enables us to earn fees both ways.

There was no way anyone can guarantee that the next pump happened, so we exit at the first sign of trouble and go onto the next play. As long as we are consistent, the small wins

will add up.

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Example 4 - Unicoin

Let's say you were late, very late to a coin, everyone has earned their fees and went on to other coins.

But since you were late you see the chart and feel that maybe there are more fees to be squeezed out since price is still near highs. So you went with 100bs with 69bins to cover 49% dump since the Supertrend is way above the 0.49 line.

When price dumped and broke the Supertrend support, you still dont feel the danger of doing DLMM on "tired coins", you will think you still have more range to the downside to earn fees from and stayed in.

But prices just kept doing a slow rug until it reaches bottom of the DLMM range. There are 2 choices here which both happens to work.
One is to get out when you see a green bar breaking back above the teal line. Two is when

price breaks the Supertrend resistance.
The best case for this type of dump is a breakeven, depending on how much fees you got during the choppy dump.

In a future post I will come back to this coin again and explain why we should have been out of the coin and not DLMM that final part.

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This was just a simple exit strategy anyone can use to find exit points if you were doing DLMM near the tops.

There is no perfect method to exit strategy, sometimes it comes down to luck. There are times when support breaks but the price just shoots back up to new highs. Then there are times when we choose the wrong coin and price just rugs straight and the only way to minimize loss is to just cut it.

There are many other methods people can use for their exit strategies, like using certain indicators in a different way than intended to fit our strategy.

Remember you still need to be selective in the coins you DLMM which you can learn from my previous thread below.
x.com/tendorian9/sta…

In a future post I would put all three of my strategies together and use a few examples on why we should use a different range for certain coins and how to identify "tired coins" and other useful stuffs.

@LP Army

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